UNITED STATES BANKRUPTCY COURT
DISTRICT OF CONNECTICUT
BRIDGEPORT DIVISION

In re: HO WAN KWOK, et al., HO WAN KWOK, et al.,[1] Debtors.	Chapter 11 Case No. 22-50073 (JAM) Case No. 22-50073 (JAM) (Jointly Administered)
Debtors.	(Jointly Administered)
LUC A. DESPINS, CHAPTER 11 TRUSTEE, Plaintiff, v. PILLSBURY WINTHROP SHAW PITTMAN LLP, Defendant.	Adv. Pro. No. 24-05014 (JAM) Dated: April 22, 2024
LUC A. DESPINS, CHAPTER 11 TRUSTEE, Plaintiff, v. PILLSBURY WINTHROP SHAW PITTMAN LLP, Defendant.	Adv. Pro. No. 24-05014 (JAM)

MEMORANDUM OF LAW IN SUPPORT OF DEFENDANT PILLSBURY WINTHROP SHAW PITTMAN LLP'S MOTION TO DISMISS THE COMPLAINT

April 22, 2024

MEMORANDUM OF LAW IN SUPPORT OF DEFENDANT PILLSBURY WINTHROP SHAW PITTMAN LLP'S MOTION TO DISMISS THE COMPLAINT

ORAL ARGUMENT REQUESTED

[1] The Debtors in these chapter 11 cases are Ho Wan Kwok (also known as Guo Wengui, Miles Guo, and Miles Kwok, as well as numerous other aliases) (last four digits of tax identification number: 9595), Genever Holdings LLC (last four digits of tax identification number: 8202) and Genever Holdings Corporation. The mailing address for the Trustee, Genever Holdings LLC, and the Genever Holdings Corporation is Paul Hastings LLP, 200 Park Avenue, New York, NY 10166 c/o Luc A. Despins, as Trustee for the Estate of Ho Wan Kwok (solely for purposes of notices and communications).

TABLE OF CONTENTS

Page

PRELIMINARY STATEMENT 1
FACTS PLED IN THE COMPLAINT 5
APPLICABLE LEGAL STANDARD 6
ARGUMENT 7

I. The Trustee's Alter Ego Theory Cannot Transform G Club's Property Into Property of the Debtor's Estate 7

II. The Complaint Fails Because It Does Not Adequately Allege that G Club Is the Debtor's Alter Ego 10

III. The Trustee Does Not Plead Grounds to Substantively Consolidate the Debtor and G Club 12

IV. The Complaint Fails Because the Trustee has Failed to Join an Indispensable Party 14

V. There is No Basis for Any Retroactive Relief 15

VI. The Complaint Should be Dismissed With Prejudice 16

CONCLUSION 17

TABLE OF AUTHORITIES

Page(s)

Evangelista v. Silver (In re Silver),
647 B.R. 897 (Bankr. E.D. Mich. 2022) 8

Situ v. O'Neill,
124 F. Supp. 3d 34 (D. P.R. 2015) 8

STATUTES

Union Sav. Bank v. Augie/Restivo Baking Co. (In re Augie/Restivo Baking Co.),
860 F.2d 515 (2d Cir. 1988) 12, 13, 14

Verestar, Inc. v. Am. Tower Corp. (In re Verestar, Inc.),
343 B.R. 444 (Bankr. S.D.N.Y. 2006) 13

RULES

Statutes and Codes

United States Code
Title 11, Section 327 1
Title 11, Section 330 1
Title 11, Section 549 ..... passim

CASES

Ashcroft v. Iqbal, 556 U.S. 662 (2009) 4

Bell Atl. Corp. v. Twombly, 550 U.S. 544 (2007) 4

Neitzke v. Williams, 490 U.S. 319 (1989) 9

In re Howland, 674 F. App'x 482 (6th Cir. 2017) 5

Connecticut General Statutes Annotated
Section 33-673(a) 9

Rules and Regulations

Federal Rules of Bankruptcy Procedure

Rule 7009 9
Rule 7010 2
Rule 7012 ..... 1, 14
Rule 7019 14

Federal Rules of Civil Procedure
Rule 9(b) 9
Rule 10(c) 2, 10
Rule 12 ..... 1, 14

Rule 15(a)(2) 16
Rule 19(a) 14

Defendant Pillsbury Winthrop Shaw Pittman LLP ("Pillsbury"), by and through its undersigned counsel, submits this memorandum of law in support of its motion to dismiss the complaint [Docket No. 1, "Compl."] filed by Plaintiff Luc A. Despins, in his capacity as the Debtor's chapter 11 trustee (the "Trustee"), pursuant to Rule 12(b) of the Federal Rules of Civil Procedure (as incorporated by Rule 7012 of the Federal Rules of Bankruptcy Procedure) ("Rule 12"). In support of the motion, Pillsbury states as follows:

PRELIMINARY STATEMENT

1. Shortly after his appointment, the Trustee served a subpoena with broad Rule 2004 discovery requests on G Club Operations LLC ("G Club"). G Club, in the ordinary course, retained Pillsbury to represent it in connection with the subpoena and any related court proceedings, and Pillsbury entered a notice of appearance on June 6, 2023. (Chapter 11 Docket No. 1884.) At no point did the Trustee, the Court, or any other party in interest suggest that Pillsbury, as counsel to a non-debtor third party, was required to file a retention application or seek Court approval of its fees pursuant to sections 327 and 330, or any other section, of the Bankruptcy Code. Any such suggestion would have been nonsensical, as these provisions plainly apply only to professionals retained by estate representatives. Nevertheless, by this action, the Trustee seeks to avoid, pursuant to 11 U.S.C. § 549, $1,599,822.93 of payments G Club made to Pillsbury as compensation for its legal work on the basis that the payments were "postpetition transfers of estate property [that] were not authorized." (Compl. ¶ 3.)

2. Although G Club is not a debtor, the Trustee contends that it is an alter ego of Mr. Kwok, one of the Debtors in these cases, and that, as such, its assets are "property of the estate" retroactive to the date of the Debtor's Petition, unburdened by G Club's liabilities. The Trustee's legal theory is critically flawed, however, for a number of reasons, including:

a. Under Puerto Rico law, which governs the alter ego analysis here, an alter ego remedy merely makes the alter ego vicariously liable for the debtor's debts once a judgment against the debtor is obtained and a determination of alter ego with the non-debtor is made. It does not give the debtor an ownership interest in the alter ego's assets. Thus, even if the Trustee prevails in

[2] Capitalized terms not defined in this memorandum have the meanings ascribed to them in the Complaint.

establishing that G Club is the Debtor's alter ego, an alter ego remedy would not transform G

10(c)) only permits incorporation of allegations from prior filed pleadings. The

Club's assets into property of the Debtor's estate. The Trustee has no basis to recover G Club's

Trustee's attempt to incorporate a to-be-filed pleading from an unspecified

payments to Pillsbury under section 549 of the Bankruptcy Code.

adversary proceeding does not give Pillsbury fair notice of the grounds upon which

b. Even if an alter ego remedy could consolidate G Club's assets with those of the Debtor, the

the Trustee's claim rests and is thus improper.

complaint fails to allege non-conclusory facts that, if proven, would establish the Trustee's

c. Although the Trustee does not explicitly seek an order substantively

entitlement to the requested relief at all or with retroactive effect. The complaint does not

consolidating the Debtor and G Club in this or any subsequently filed complaint

plead facts relevant to any of the eleven factors that courts applying Puerto Rico law consider

against G Club, the relief sought in this complaint seeks to treat G Club's assets

in determining whether substantive consolidation is appropriate. Instead, the complaint asserts, in conclusory

if they were substantively consolidated with the Debtor's assets. But the facts pled

fashion, that G Club was the Debtor's "personal piggy-bank." (Compl. ¶ 16.) The Trustee

in the complaint do not establish a basis for substantive consolidation. Among

attempts to overcome this deficiency by purporting to incorporate by reference a complaint

other deficiencies, the Trustee fails to explain how an order deeming G Club's

from an action against G Club that he "will imminently commence," but Federal Rule of

assets to be assets of the estate would promote the "sole purpose" of substantive

Bankruptcy Procedure 7010 (incorporating Federal Rule of Civil Procedure 10(c)) only

consolidation, which is "to ensure the equitable treatment of *all* creditors." On the

permits incorporation of allegations from prior filed pleadings.

contrary, the Trustee's express objective, to recover payments made to creditors

c. Although the Trustee does not explicitly seek an order substantively consolidating the

of G Club and redistribute the funds to creditors of the Debtor, would do just the

Debtor and G Club in this or any subsequently filed complaint against G Club, the relief

opposite. Nowhere does the Trustee acknowledge that if G Club and the Debtor

sought in this complaint seeks to treat G Club's assets as if they were substantively consolidated

were substantively consolidated G Club's hundreds of millions of dollars of

with the Debtor's assets. But the facts pled in the complaint do not establish a basis for

liabilities would become liabilities of the Debtor's estate.

substantive consolidation. Among other deficiencies, the Trustee fails to explain how an order

3. In sum, the Trustee misapplies the term "alter ego" to encompass concepts such as

deeming G Club's assets to be assets of the estate would promote the "sole purpose" of

contrary, the Trustee's express objective, to recover payments made to creditors of G Club and

substantive consolidation, which is "to ensure the equitable treatment of all creditors." On the

redistribute the funds to creditors of the Debtor, would do just the opposite.

veil piercing, reverse veil piercing, vicarious liability and (partial) substantive consolidation trying

b. In sum, the Trustee misapplies the term "alter ego" to encompass concepts such as

to obtain relief that none of these theories (even if they were adequately pled) provide, making G

veil piercing, reverse veil piercing, vicarious liability and (partial) substantive consolidation trying to obtain

Club's assets the Debtor's assets as of the Petition Date, such that non-debtor G Club's "post-

relief that none of these theories (even if they were adequately pled) provide, making G Club's assets

petition" payment of its expenditures required pre-approval by the Court under section 549 of the

the Debtor's assets as of the Petition Date, such that non-debtor G Club's "post-petition" payment of

Bankruptcy Code.

its expenditures required pre-approval by the Court under section 549 of the Bankruptcy Code.

4. The Trustee's suit against Pillsbury is part of a series of fraudulent transfer, preference and post-petition transfer actions filed against service providers, the providers of goods and every law firm that represents, or has represented, one of the many companies the Trustee believes to be an alter ego of Mr. Kwok. These actions were filed shortly before the Trustee commenced a series of larger, far more significant lawsuits against the underlying clients of these law firms, which collectively seek several hundred million dollars in damages.

5. The Court should put a quick end to the Trustee's gambit and dismiss the complaint with prejudice.

FACTS PLED IN THE COMPLAINT

6. The Trustee's complaint is only eight pages long. A material portion of those eight pages is devoted to summarizing procedural posture and characterizing the nature of other proceedings before this Court. (See, e.g., Compl. ¶¶ 14-15 (asserting that "the trustee has commenced a number of adversary proceedings" and purporting to summarize "[t]he fact patterns in these [other] litigations")). The allegations against Pillsbury are mapped out in just a few sentences in the complaint.

7. The complaint alleges that G Club "transferred funds in the amount of $1,599,822.93 after the Petition Date . . . to the Defendant as initial transferee" (Compl. ¶ 2) and that "GClub [sic] is one of numerous alter ego shell companies used by the Debtor to defraud his creditors." (*Id.* ¶ 13.) The complaint does not present any facts relevant to a determination as to whether G Club is in fact an alter ego of the Debtor. Instead, it asserts that "[t]he Trustee has or will imminently commence an adversary proceeding against GClub, which adversary proceeding seeks, among other things, a declaratory judgment that GClub was the alter ego of the Debtor" and that "[t]he Trustee incorporates by reference herein, the Trustee's Complaint filed in such adversary proceeding." (*Id.* ¶ 13 n.13.) However, the complaint does not identify the pleading that it purports by incorporate, by docket reference, adversary proceeding number, or date.

8. From these allegations, the Trustee asks the Court to conclude that G Club is the Debtor's alter ego and that "[a]s of the Petition Date [of these chapter 11 cases], all of the Debtor's property held through his alter egos, including GClub [sic] became property of the Debtor's chapter 11 estate." (*Id.* ¶ 17.) These conclusory statements are all that support the complaint's single count, which seeks to avoid G Club's $1,599,822.93 payment to Pillsbury pursuant to section 549 of the Bankruptcy Code. (Id. ¶¶ 23-29.)

APPLICABLE LEGAL STANDARD

ARGUMENT

I. The Trustee's Alter Ego Theory Cannot Transform G Club's Property Into Property of the Debtor's Estate

9. Rule 12(b)(6) authorizes a court to dismiss a claim on the basis of a dispositive issue of law." *Neitzke v. Williams*, 490 U.S. 319, 326 (1989). Claims will only survive if the plaintiff alleges

10. Section 549 of the Bankruptcy Code provides that "the trustee may avoid a transfer facts sufficient "to state a claim to relief that is plausible on its face." *Bell Atl. Corp. v. Twombly*, 550 of property of the estate that occurs after the commencement of the case." 11 U.S.C. § 549(a)(1). U.S. 544, 570 (2007). A claim is facially plausible "when the plaintiff pleads factual content that allows

The transfers in this case were made by G Club, which is not a debtor. The Trustee asserts, the court to draw the reasonable inference that the defendant is liable for the misconduct alleged.

however, that G Club was the Debtor's alter ego and that "all of the Debtor's property held through *Ashcroft v. Iqbal*, 556 U.S. 662, 678 (2009). In deciding whether a plaintiff has made this showing, a his alter egos . . . became property of the Debtor's chapter 11 estate." (Compl. ¶ 17.) The Trustee's court should disregard "legal conclusions" and "conclusory statements." *Id.*

theory is mistaken.

ARGUMENT

11. Alter ego, properly applied, is not a valid cause of action or catch all that transforms

I. The Trustee's Alter Ego Theory Cannot Transform G Club's Property Into Property of the Debtor's Estate

a non-debtor's assets into the assets of the debtor. It is a collection remedy that allows creditors of the debtor to try to collect their debts from the alter ego. This paradigm defeats any claim that

10. Section 549 of the Bankruptcy Code provides that "the trustee may avoid a transfer of the transfer by to G Club (the alleged transferor in the complaint), an entity incorporated under property of the estate that occurs after the commencement of the case." 11 U.S.C. § 549(a)(1). The Puerto Rico law, to Pillsbury as a transfer by the Debtor, because under Puerto Rico law, there is transfers in this case were made by G Club, which is not a debtor. The Trustee asserts, however, that G Club was the Debtor's alter ego and that "all of the Debtor's property held through alter egos no combining of assets on a finding of alter ego, or on a finding that the corporate veil will be became property of the Debtor's chapter 11 estate." (Compl. ¶ 17.) The Trustee's theory is mistaken. pierced to permit claims against a corporate entity to be collected from a related owner.

11. Alter ego, properly applied, is not a valid cause of action or catch all that transforms a non-

12. There are two general approaches to veil piercing, to establishing the right to an debtor's assets into the assets of the debtor. It is a collection remedy that allows creditors of the debtor alter ego remedy. Courts in some jurisdictions apply the "identity approach," under which to try to collect their debts from the alter ego. This paradigm defeats any claim that the transfer by G "piercing the corporate veil expands the debtor's estate to include the property of its alter ego by Club (the alleged transferor in the complaint), an entity incorporated under Puerto Rico law, to deeming a corporation and its alter ego to be a single entity." *See, e.g., In re Howland*, 674 F. Pillsbury is a transfer by the Debtor, because under Puerto Rico law, there is no combining of assets on App'x 482, 486 (6th Cir. 2017) (internal quotation marks and second citation omitted) (first a finding of alter ego, or on a finding that the corporate veil will be pierced to permit claims against a corporate entity to be collected from a related owner. quoting *Am. Int'l Refinery v. Knight (In re Am. Int'l Refinery)*, 402 B.R. 728, 744 (Bankr. W.D. La. 2008)).

12. There are two general approaches to veil piercing, to establishing the right to an alter ego remedy. Courts in some jurisdictions apply the "identity approach," under which "piercing the corporate veil expands the debtor's estate to include the property of its alter ego by deeming a

corporation and its alter ego to be a single entity." *See, e.g., In re Howland*, 674 F. App'x 482, 486 (6th Cir. 2017).

13. However, the more prevalent approach "employs veil piercing as a form of vicarious liability, shifting liability from the debtor to its alter ego." *Id.* Under this approach, "[t]he doctrine of alter ego does not create assets for or in the corporation. It simply fastens liability upon the individual who uses the corporation merely as an instrumentality in the transaction." *Id.* (citations omitted).

CONCLUSION

34. For the foregoing reasons, the Trustee's complaint should be dismissed with prejudice.

CONCLUSION

14. For the foregoing reasons, the Trustee's complaint should be dismissed with prejudice.

RESPECTFULLY SUBMITTED,

GREEN & SKLARZ LLC

/s/ Jeffrey M. Sklarz

Jeffrey M. Sklarz (ct20938)
Kellianne Baranowsky (ct26684)
One Audubon St, 3rd Floor
New Haven, CT 06511
Tel: 203-285-8545
jsklarz@gs-lawfirm.com
kbaranowsky@gs-lawfirm.com

PILLSBURY WINTHROP SHAW PITTMAN LLP

/s/ Andrew Troop

Andrew Troop (*pro hac vice* pending)
Carolina A. Fornos (admitted *pro hac vice*)
Rahman Connelly (*pro hac vice* pending)
31 West 52nd Street
New York, NY 10019
Telephone: 212-858-1000
Facsimile: 212-858-1500
andrew.troop@pillsburylaw.com
carolina.fornos@pillsburylaw.com
rahman.connelly@pillsburylaw.com

RESPECTFULLY SUBMITTED,
GREEN & SKLARZ LLC
/s/ Jeffrey M. Sklarz
Jeffrey M. Sklarz (ct20938)
Kellianne Baranowsky (ct26684)
One Audubon St, 3rd Floor
New Haven, CT 06511
Tel: 203-285-8545
jsklarz@gs-lawfirm.com
kbaranowsky@gs-lawfirm.com
PILLSBURY WINTHROP SHAW PITTMAN LLP
/s/ Andrew Troop
Andrew Troop (pro hac vice pending)
Carolina A. Fornos (admitted pro hac vice)
Rahman Connelly (pro hac vice pending)
31 West 52nd Street
New York, NY 10019
Telephone: 212-858-1000
andrew.troop@pillsburylaw.com
carolina.fornos@pillsburylaw.com
rahman.connelly@pillsburylaw.com